

D554

Advanced Financial Accounting I

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

Parent Co. owns 58% of Sub Co.'s voting stock. Sub operates in a different industry (medical devices vs. Parent's software) and has its own board that meets monthly. Under U.S. GAAP, how should Parent report Sub?

- A.** Carry Sub at fair value through net income, since Parent owns less than 100%.
- B.** Consolidate only 58% of each of Sub's line items.
- C.** Use the equity method, because Sub is in a different industry.
- D.** Consolidate Sub and report a noncontrolling interest for the other 42%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

Acquirer pays \$900,000 cash for 80% of Target. The fair value of the 20% noncontrolling interest is \$225,000. Target's identifiable net assets have a fair value of \$1,000,000 and a book value of \$850,000. Target's CEO will stay on for two years. What goodwill is recognized?

- A.** \$275,000
- B.** \$100,000
- C.** \$125,000
- D.** \$50,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

Goodwill of \$60,000 was recognized when a parent bought 100% of a subsidiary for \$760,000. What was the fair value of the subsidiary's identifiable net assets?

- A.** \$700,000
- B.** \$820,000
- C.** \$640,000
- D.** \$760,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A parent owns 75% of a subsidiary. The subsidiary is based in Texas and was acquired in a friendly deal. Where does the 25% noncontrolling interest appear on the consolidated balance sheet?

- A. Within equity, shown separately from the parent's equity.
- B. Between liabilities and equity.
- C. Not shown, because only 75% of the subsidiary's assets are consolidated.
- D. As a liability.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

Buyer pays \$4.0 million for 100% of a distressed manufacturer whose identifiable net assets have a fair value of \$4.6 million after a careful reassessment. The seller needed cash quickly to settle a lawsuit. How does Buyer account for the \$600,000 difference?

- A. Reduce the fair values of the acquired assets until the difference is gone.
- B. Recognize a \$600,000 gain on bargain purchase in earnings at the acquisition date.
- C. Record \$600,000 of goodwill.
- D. Record \$600,000 negative goodwill as a liability and amortize it.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

Parent sold inventory costing \$60,000 to its 90%-owned subsidiary for \$80,000. At year-end the subsidiary still holds 30% of these goods. The subsidiary's warehouse is in another state. How much unrealized gross profit is eliminated in consolidation?

- A. \$6,000
- B. \$5,400
- C. \$24,000
- D. \$20,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

Consolidation eliminates \$9,000 of unrealized intra-entity profit. The seller's gross margin is 25% of the selling price. What is the transfer price of the goods still held by the buyer?

- A.** \$27,000
- B.** \$2,250
- C.** \$36,000
- D.** \$45,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

On January 1, Investor buys 30% of Investee for \$500,000 and gains significant influence. For the year, Investee reports net income of \$200,000 and pays dividends of \$50,000. Investee's stock price rose 10%. What is the year-end investment balance?

- A.** \$550,000
- B.** \$560,000
- C.** \$575,000
- D.** \$545,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

An investor using the equity method owns 25% of an investee. The investment account rose from \$400,000 to \$430,000 during the year, and the investor received \$10,000 of dividends. What was the investee's net income?

- A.** \$40,000
- B.** \$120,000
- C.** \$80,000
- D.** \$160,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

Partners A and B allocate income as follows: salaries of \$30,000 to A and \$20,000 to B, 10% interest on beginning capital (A \$100,000; B \$50,000), and any remainder 60/40. Net income is \$50,000. The partnership, a landscape design firm, won two regional awards this year. How much income is allocated to A?

- A.** \$33,333
- B.** \$31,000
- C.** \$30,000
- D.** \$40,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

Under the same agreement (salaries \$30,000 to A and \$20,000 to B; 10% interest on capital of \$100,000 and \$50,000; remainder 60/40), B is allocated \$25,000. What was total net income?

- A.** \$90,000
- B.** \$65,000
- C.** \$62,500
- D.** \$50,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

Partners C and D have capital of \$120,000 and \$80,000 and share profits equally. E invests \$130,000 cash for a one-third interest, and the partners use the bonus method. The firm's client list includes two hospitals. What is E's capital balance?

- A.** \$66,667
- B.** \$150,000
- C.** \$110,000
- D.** \$130,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

Parent Co. owns 58% of Sub Co.'s voting stock. Sub operates in a different industry (~~medical devices vs. Parent's software~~) and has its own board that meets monthly. Under U.S. GAAP, how should Parent report Sub?

Target word: reporting method **Decides:** 58% of voting stock gives control.

A	Confusion set	Fair value treatment applies to investments without significant influence.
B	Adjacent category	Proportionate consolidation is not used; 100% is consolidated.
C	Camouflage	Industry differences no longer exempt a subsidiary from consolidation.
D	Correct	Control requires full consolidation with an NCI.

2. Answer C Concept 2

Acquirer pays \$900,000 cash for 80% of Target. The fair value of the 20% noncontrolling interest is \$225,000. Target's identifiable net assets have a fair value of \$1,000,000 and a book value of \$850,000. ~~Target's CEO will stay on for two years.~~ What goodwill is recognized?

Target word: goodwill **Decides:** Consideration + NCI fair value – fair value of net assets.

A	Wrong stem number	Uses book value of \$850,000 instead of fair value.
B	Adjacent category	Computes only the parent's share: $\$900,000 - 80\% \times \$1,000,000$.
C	Correct	$\$900,000 + \$225,000 - \$1,000,000 = \$125,000$.
D	Dropped element	Drops the NCI and uses book value: $\$900,000 - \$850,000$.

3. Answer A Concept 2 · transfer

Goodwill of \$60,000 was recognized when a parent bought 100% of a subsidiary for \$760,000. What was the fair value of the subsidiary's identifiable net assets?

Target word: solve for net assets **Decides:** Net assets = consideration – goodwill.

A	Correct	$\$760,000 - \$60,000 = \$700,000$.
B	Inverted operation	Adds goodwill instead of subtracting it.
C	Adjacent category	Subtracts goodwill twice.
D	Wrong stem number	That is the price paid.

4. Answer A Concept 3

A parent owns 75% of a subsidiary. ~~The subsidiary is based in Texas and was acquired in a friendly deal.~~ Where does the 25% noncontrolling interest appear on the consolidated balance sheet?

Target word: NCI placement **Decides:** Current GAAP treats NCI as equity.

A	Correct	The NCI is an ownership interest in the consolidated entity.
B	Confusion set	That mezzanine placement is outdated practice.
C	Dropped element	100% of assets are consolidated, so the NCI must appear.
D	Adjacent category	Nothing is owed to minority owners; they hold equity.

5. Answer B Concept 4

Buyer pays \$4.0 million for 100% of a distressed manufacturer whose identifiable net assets have a fair value of \$4.6 million after a careful reassessment. ~~The seller needed cash quickly to settle a lawsuit.~~ How does Buyer account for the \$600,000 difference?

Target word: bargain purchase treatment **Decides:** Price is below the fair value of net assets after reassessment.

A	Confusion set	That older allocation method has been replaced.
B	Correct	Current GAAP records the excess as an immediate gain.
C	Inverted operation	Goodwill arises when price exceeds net assets, the reverse of this case.
D	Adjacent category	Negative goodwill as a deferred credit is not current practice.

6. Answer A Concept 5

Parent sold inventory costing \$60,000 to its 90%-owned subsidiary for \$80,000. At year-end the subsidiary still holds 30% of these goods. ~~The subsidiary's warehouse is in another state.~~ How much unrealized gross profit is eliminated in consolidation?

Target word: unrealized profit **Decides:** 30% of the \$20,000 gross profit remains in inventory; downstream is fully eliminated.

A	Correct	$\$20,000 \text{ gross profit} \times 30\% \text{ still held} = \$6,000.$
B	Adjacent category	Applies the 90% ownership; downstream profit is eliminated in full.
C	Wrong stem number	Takes 30% of the \$80,000 selling price, not of the profit.
D	Dropped element	Drops the fact that 70% of the goods were resold outside.

7. Answer C Concept 5 · transfer

Consolidation eliminates \$9,000 of unrealized intra-entity profit. The seller's gross margin is 25% of the selling price. What is the transfer price of the goods still held by the buyer?

Target word: solve for transfer price **Decides:** Profit / margin rate = transfer price.

A	Confusion set	That is the cost of the goods held, not their transfer price.
B	Inverted operation	Multiplies by the margin instead of dividing.
C	Correct	$\$9,000 / 0.25 = \$36,000.$
D	Adjacent category	Treats 25% as a markup on cost (20% of price).

8. Answer D Concept 6

On January 1, Investor buys 30% of Investee for \$500,000 and gains significant influence. For the year, Investee reports net income of \$200,000 and pays dividends of \$50,000. ~~Investee's stock price rose 10%.~~ What is the year-end investment balance?

Target word: equity-method balance **Decides:** Add 30% of income, subtract 30% of dividends.

A	Camouflage	Marks the investment to the stock price, which the equity method does not do.
B	Dropped element	Leaves out the dividends received.
C	Inverted operation	Adds dividends instead of subtracting them.
D	Correct	$\$500,000 + \$60,000 - \$15,000 = \$545,000.$

9. Answer D Concept 6 • transfer

An investor using the equity method owns 25% of an investee. The investment account rose from \$400,000 to \$430,000 during the year, and the investor received \$10,000 of dividends. What was the investee's net income?

Target word: solve for investee income **Decides:** $\text{Change} = 25\% \times \text{NI} - \text{dividends}$.

A	Adjacent category	That is the investor's share, not the investee's total.
B	Dropped element	Ignores the dividends: $\$30,000 / 0.25$.
C	Inverted operation	Subtracts dividends instead of adding them back.
D	Correct	$\$30,000 + \$10,000 = \$40,000$ share; $\$40,000 / 0.25 = \$160,000$.

10. Answer B Concept 7

Partners A and B allocate income as follows: salaries of \$30,000 to A and \$20,000 to B, 10% interest on beginning capital (A \$100,000; B \$50,000), and any remainder 60/40. Net income is \$50,000. ~~The partnership, a landscape design firm, won two regional awards this year.~~ How much income is allocated to A?

Target word: A's share **Decides:** Salaries and interest total \$65,000, leaving a –\$15,000 remainder.

A	Confusion set	Splits income by the capital ratio (2:1) instead of the agreement.
B	Correct	$\$30,000 + \$10,000 - 60\% \times \$15,000 = \$31,000$.
C	Adjacent category	Splits all income 60/40 and ignores salaries and interest.
D	Dropped element	Drops the negative remainder that must still be shared.

11. Answer B Concept 7 • transfer

Under the same agreement (salaries \$30,000 to A and \$20,000 to B; 10% interest on capital of \$100,000 and \$50,000; remainder 60/40), B is allocated \$25,000. What was total net income?

Target word: solve for net income **Decides:** B's \$20,000 + \$5,000 already equals \$25,000, so the remainder is zero.

A	Inverted operation	Adds B's share on top of the salaries and interest it already includes.
B	Correct	Remainder is \$0, so income = \$50,000 salaries + \$15,000 interest.
C	Dropped element	Divides \$25,000 by 40% and ignores salaries and interest.
D	Adjacent category	Assumes an equal split of income.

12. Answer C Concept 8

Partners C and D have capital of \$120,000 and \$80,000 and share profits equally. E invests \$130,000 cash for a one-third interest, and the partners use the bonus method. ~~The firm's client list includes two hospitals.~~ What is E's capital balance?

Target word: new partner's capital **Decides:** Total capital $\$330,000 \times 1/3$.

A	Adjacent category	Takes one-third of the old capital only.
B	Inverted operation	Gives the bonus to E instead of the existing partners.
C	Correct	$\$330,000 / 3 = \$110,000$; the \$20,000 excess is a bonus to C and D.
D	Dropped element	Credits the cash invested and drops the bonus adjustment.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	8	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	11	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	7	
Absolute language	Always, never, guarantee — where judgment applies.	0	
Confusion set	Every option is real; the test is exact role-matching.	5	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Control means consolidation	A parent that controls a subsidiary (usually more than 50% of voting shares) consolidates 100% of its assets, liabilities, revenues and expenses and reports a noncontrolling interest for the rest.	Using the equity method because the subsidiary is in a different industry, or consolidating only the owned percentage.	An ownership percentage above 50%.
2	Goodwill in an acquisition	Goodwill = consideration paid + fair value of the noncontrolling interest – fair value of identifiable net assets.	Using book values, or leaving out the noncontrolling interest.	A purchase price for less than 100%, an NCI fair value, and both book and fair values.
3	Presenting the noncontrolling interest	The NCI is reported in consolidated equity, separately from the parent's equity.	Showing the NCI as a liability or in a mezzanine section.	Where the NCI appears on the balance sheet.
4	Bargain purchase	When the fair value of identifiable net assets exceeds consideration (after reassessment), the acquirer recognizes a gain in earnings on the acquisition date.	Recording negative goodwill or scaling down asset values.	A price below the fair value of net assets.
5	Intra-entity inventory profit	Eliminate the gross profit on intra-entity sales that remains in ending inventory; for downstream sales the full amount is eliminated against the parent.	Eliminating all the profit, or only the parent's ownership share on a downstream sale.	Goods sold between affiliates with some still on hand at year-end.
6	Equity method investments	With significant influence, the investment rises by the investor's share of investee income and falls by dividends received.	Adding dividends, or marking the investment to the stock price.	20-50% ownership, investee net income and dividends.
7	Partnership income allocation	Apply salaries and interest on capital first, then split whatever remains (even a negative remainder) by the profit-and-loss ratio.	Stopping when income runs out, or splitting everything by the ratio.	Salary allowances, interest on capital and a residual ratio.
8	Admitting a partner under the bonus method	New partner's capital = total capital after the investment x ownership share; any difference from cash invested is a bonus shared by the partners.	Crediting the new partner with the cash invested.	Cash invested does not equal the ownership share of total capital.

Course scope (public description): D554: Advanced Financial Accounting I prepares students to engage in an expanding business world by teaching complex accounting and specialized skills required to accommodate the advanced accounting needs of many industries. Being able to apply financial standards using professional judgment to a variety of business situations is crucial for success in the business world. This course builds student's accounting knowledge by focusing on advanced financial accounting topics such as consolidations,

partnership accounting, allocations, adjustments, and eliminations.